

PICS pitch deck

PITCH — PICS — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: NO ENTRY. Stay flat and place no orders into the August 24 earnings report; this is a deferred decision pending one specific number, not a permanent rejection — reopen the file on August 25 at the gates below.

What we believe

PicPay (Nasdaq: PICS) is a large Brazilian digital bank that listed on Nasdaq in January 2026 at \$19.00 and now trades at \$10.22 — down 48.8% from its high, up 22.8% off its \$8.32 low. It is a real, revenue-generating business: it has told the market to expect R\$3.6 billion of second-quarter revenue and R\$245 million of adjusted net income, up 45% from the prior quarter.

The idea we were testing was that the company's loan losses are forming faster than it is setting money aside to cover them, and that its very fast loan growth hides this. **That idea is currently unproven — and we now believe it is neither confirmed nor refuted.** The first bench declared it dead; the second bench showed the test used to kill it cannot actually tell the difference between a healthy book and a deteriorating one. So we are left with an open question, not an answer.

What we do believe with confidence:

- 1. The resolving number arrives in five trading days.** The company said in a filed press release that it will report on August 24 after the close. That is a primary source, not a guess: [SEC 6-K, August 10, 2026](#).
- 2. Something is selling the stock right now, and we don't know what.** The shares fell 10.5% on August 17 with no company news since an August 12 ownership filing. The lock-up on insider shares from the January IPO expired around July 29. Only about 21.4 million of the 129.6 million shares trade freely (16.5%). We predicted supply would arrive; we should not be the buyer standing in front of it.
- 3. The legal overhang is financially trivial but epistemically expensive.** There is a securities claim tied to the IPO. The absolute statutory maximum is $22,857,143 \text{ shares} \times (\$19.00 - \$10.22) = \text{\$200.7 million}$, and typical settlements of 2–10% put the realistic exposure at \$4–24 million, roughly 0.3–1.8% of the \$1.325 billion market value. The dollars don't matter. What matters is that it makes us distrust management's own disclosures as evidence — which means we need an outside read on the business, and nobody produced one.

What the market believes

The market believes this is a broken IPO. It has cut the price in half in seven months and marked it down another 10.5% going *into* an earnings report — the opposite of buyers positioning for good news.

At \$10.22 the company is worth about \$1.325 billion.

There is also a specific, recent memory in the tape: on June 2 the stock rose 4.79% after hours to \$11.60 on the first-quarter release, then traded below \$9.00 within 48 hours. The market has already learned once this year that the initial reaction to this company's numbers is not the durable one.

Against that, the company has reaffirmed its guidance twice in August, including in the same filing that announced a CFO change, and it is guiding profit to grow far faster than revenue.

Why we might have edge

- **The float is tiny and the news is binary.** With 16.5% of shares floating and a definite report date, a result that clears our bar can re-rate the stock hard from a base that is now 10.5% lower than when we first looked. Waiting for the number costs us the first move but buys us the actual answer.
- **We have an independent way to check the business that nobody used.** PicPay is a consumer app. Our app-review velocity tool reads customer sentiment and adoption directly from the app stores — it does not pass through the company's accounting. Because our whole problem here is that we don't trust the company's numbers as evidence, this is the one check that would actually resolve the question. Neither bench ran it. That is our edge if we run it before August 24 and our failure if we don't.
- **One filing answers a big question.** An ownership filing landed on August 12 — accession 0001229262-26-000020. A holder crossing 5% on a 21.4-million-share float five days before earnings is either the most important buy signal or the most important sell signal in this case. Two adversarial reviews left it unread. It is a single fetch.
- **We know what number decides it.** Not “how did the quarter look” but: the 90-days-late loan rate, and the reserve held specifically against already-bad loans. That precision means we can be right or wrong quickly instead of arguing.

Why it might be priced in

- **The stock has already fallen 49%.** A market that has halved a name is not ignoring credit risk. Our “damage is coming” story may simply be the consensus story.
- **The shares turn over fast.** About 2.04 million shares trade daily against a 21.4-million free float — the entire float changes hands roughly every 10.5 days. This is a heavily-traded, heavily-discussed situation, not a forgotten one. We originally called it structurally illiquid; that was wrong, and being wrong about obscurity usually means being wrong about edge.
- **We have no valuation.** Neither bench produced an estimate of what the company is actually worth. Our reopening rule is “buy at or below 85% of fair value,” and we have no number for fair value. Without it we cannot claim the price is wrong — only that it moved.
- **The tautology.** Our headline finding was “bad loans grew 45% while the book grew 17% — 2.6 times faster.” That is arithmetic, not insight: $1.236 \times 1.17 = 1.446$. It restates “the late-payment

rate went from 7.2% to 8.9%” by multiplying in the very growth we claimed was hiding it. Both benches agreed. We had less evidence than we thought.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Report date is August 24 after the close	Read the company’s own filed press release	“will report financial results on August 24, 2026, after market close”	YES — primary source, both benches agree
Price is \$10.22, down 48.8% from the high	Arithmetic against the evidence pack; second quote source	$10.22 \div 19.95 - 1 = -48.8\%$; $10.22 \div 8.32 - 1 = +22.8\%$; both consistent	YES
Our own first write-up said the stock was “+7% into the print” at \$11.42	Compared against the pack	Our error, and the sign was backwards. The stock fell 10.5%, it did not rise 7%. Three different prices appeared in one document, none of them live	NO — our error, corrected
Market value \$1.48 billion	129.59M shares $\times$ \$10.22	\$1.325 billion. Our “correction” to the screen’s \$1.38B made it worse, not better — the raw screen number was closer	NO — our error, corrected
Reserves are lagging behind bad-loan formation	Bench 1: reserve coverage rose 1.9 points to 63.9% while bad loans rose, so reserves are keeping up — declared fatal	Bench 2 overturned this: that 63.9% blends two buckets. Moving loans from “at risk” into “already bad” mechanically lifts the blended figure even if the reserve against already-bad loans is thinning — and a R\$590M migration between exactly those buckets is disclosed. The correct test is the reserve against already-bad loans <i>alone</i> , which neither bench has	NO — undecided. Bench 1’s “fatal” was not earned; our original claim is also unproven
Fast growth hides rising loss rates	Accounting logic on how reserves are booked	Backwards. New loans require a reserve the moment they are written, so growth <i>raises</i> reported credit cost; and new loans dilute the late-payment percentage. Holding credit cost flat at 3.7% through this growth is harder, not easier. Bench 1 was right and we sustain it	NO — our framing was wrong
Key credit figures (late-payment rate 8.9%, coverage 63.9%, “low teens by year-end”) came from a filed exhibit	Fetches the cited SEC exhibit twice through a proxy	The cited document contains none of them. It discloses the loan book (R\$28B) and credit cost (3.7%) only. “Low teens” is a CEO answer on a conference call, not filed guidance	NO — our citation was wrong. Note: this proves we mis-cited, not that the figures are false
Bench 1’s replacement citation for the correct exhibit	Compared the two accession numbers	The two benches cite <i>different</i> accession numbers for the same exhibit. At least one is wrong; neither is verified	NO — unresolved on both sides
Guidance shows credit costs eating 87% of growth	The company’s own second-quarter guidance	Adjusted net income guided +45% against gross profit +5%. Those cannot both be true; our 87% claim fails	NO — our error. But bench 2’s caveat stands: profit growing nine times faster than gross

Claim	How checked	Found	Confirmed?
			profit is itself a question about what's being adjusted out, and nobody pulled that bridge
The legal overhang forces a flat verdict regardless of findings	Internal consistency check	Our write-up declared the case not worth reviewing, then scored it 6/10, then escalated it, then said the verdict couldn't be changed by any finding. A verdict no evidence can move is not a verdict. Our own house rule treats this kind of overhang as a reason to size small, not a reason to dismiss	NO — our reasoning was circular
Statutory legal exposure of \$173 million	Recomputed at the live price	$22,857,143 \times (\$19.00 - \$10.22) =$ \$200.7 million (and \$244M if measured at the \$8.32 low). Still only 0.3–1.8% of market value after realistic settlement rates	Corrected upward; conclusion unchanged — immaterial
The stock is structurally illiquid	Volume against free float	Wrong. ~2.04M shares/day, ~\$20.8M traded daily, float turns every ~10.5 days. Exit is a non-issue at our size	NO — our error, corrected
The August 17 drop was lock-up selling	Bench 1 asserted it; bench 2 checked	Signature is present (lock-up expired ~July 29, seven insider filings in June, thin float, no news) but there is no volume confirmation for August 17 and a ~19-day gap from the expiry. A story fitted to one day's bar	NO — plausible, unverified
Our detector coverage was complete	Bench 2 audited bench 1's detector list	Bench 1 omitted three detectors that our own routing had matched. Two were false matches on a digital bank (fraud-archetype, emissions), but the third — a check for pre-IPO cash extraction by the controlling shareholder — is live and directly relevant to the securities claim. Nobody ran it	NO — coverage gap, ours
The August 10 CFO change is immaterial	Read the filing	Both benches quoted this filing only for the report date. Neither adjudicated the fact that the CFO who built the financial controls and led audit-compliance preparation is being replaced 14 days before the first big print. It is disclosed, framed as a promotion, and guidance was reaffirmed in the same document — but it went unexamined	NOT CHECKED — bench gap
Live broker price	Attempted	Denied — no broker access in either session. Both benches used the same two secondary sources, which agreed at \$10.22	NO — coverage gap

PROPOSED ENTRY BANDS

Right now: no entry, no order, no size. We hold nothing and have nothing working. Do not place a resting buy order before August 24 — a standing order into an unresolved earnings report is an accidental bet that nothing happens, which is precisely the bet the June 2 reversal says we would lose.

Reopen the file on 2026-08-25, after reading the actual numbers.

Condition read on Aug 24 AMC	Action
90-days-late loan rate $\leq$ 9.5% AND reserve coverage on already-bad loans (measured alone, not blended) flat or higher	Thesis reopens. Starter position $\leq$ 1% of book , entered in tranches, at no more than 85% of our estimated fair value — a number we must produce first, because we do not have one
90-days-late rate $\geq$ 10.5% , OR reserve coverage on already-bad loans falling	Value trap. Dismiss the name
Between 9.5% and 10.5%, or the company again omits the reserve-against-bad-loans figure	No entry. Silence on the one number that decides this is itself the answer

Price references (alerts, not orders): - **\$8.32** — the 52-week low. A break below confirms that supply, not opinion, is setting the price; that pushes any entry out until the selling is done. - **\$11.60** — the June 2 after-hours high. If the stock holds above this for more than two sessions after the print, the “pop then fade” pattern we’re relying on has failed and our timing logic needs rewriting.

The 85%-of-fair-value rule has no number behind it. Neither bench estimated what the business is worth, and we have no BRL/USD rate in the evidence pack, so we cannot even convert the guided R\$245 million quarterly profit into a multiple against the \$1.325 billion market value. Producing a fair-value estimate is a prerequisite to any entry, not a detail.

Catalyst dates: - **2026-08-24, after the close** — second-quarter results. **Confirmed by the company’s own filing.** - **2026-08-25** — we reconvene and rule on the gate above. - **2026-12-31** — the CEO’s conference-call remark that the late-payment rate reaches “low teens” by year-end. This was never filed as guidance, only spoken. Treat it as a claim to test, not a date to trade.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.5 (deck-provisional: watch-only: sub-\$9.50 pre-print without a filing is further unexplained supply, not an entry signal)
- filing watch: 6-K until 2027-02-13 (deck-provisional: Q2 results 2026-08-24 AMC: read 90-day NPL rate, reserve coverage on already-bad loans stated ALONE, c)
- dated pack PICS|2026-08-24: PICS: Q2 2026 results after market close; decides the case on 90-day NPL rate and standalone bad-loan reserve coverage (date confirmed=True)
- dated pack PICS|2026-08-25: PICS: reconvene and rule the pre-committed gate: NPL 90+ $\leq$ 9.5% with standalone Stage 3 coverage flat-or-up reopens at $\leq$ 0.85x fair value, s
- dated pack PICS|2026-12-31: PICS: CEO’s spoken ‘low teens by year-end’ NPL remark comes due; never filed as guidance, so test it rather than trade it (date confirmed=Fa

What remains unverified

1. **The core credit question.** Whether reserves are keeping pace with loan deterioration is genuinely unknown. The blended coverage number both benches argued over cannot answer it. The number that can — reserve coverage on already-bad loans, standing alone — is not in our hands.
2. **Where the disputed figures actually come from.** The late-payment rate of 8.9%, the 12.7% figure, and the 63.9% coverage were cited to a document that does not contain them. Both benches then cited *different* accession numbers for the exhibit that supposedly does. We do not currently have a verified source for our own load-bearing numbers.
3. **Who bought or sold on August 12.** Unidentified after two reviews. One fetch.
4. **Why the stock fell 10.5% on August 17.** Lock-up supply is plausible and unproven — no volume data, and a 19-day gap from the expiry.
5. **What the company is worth.** No fair-value estimate exists, so the “85% of fair value” entry rule is currently unusable. No exchange rate in the pack, so no revenue or earnings multiple can be stated.
6. **The quality of “adjusted” earnings.** Nobody pulled the reconciliation.
7. **The CFO transition.** Announced 14 days before the print; unexamined by both benches.
8. **Pre-IPO payments to the controlling shareholder.** A matched check that neither bench ran, directly relevant to the securities claim.
9. **Live price.** Both reviews ran without broker access.

Honest summary of our own performance: the first review was correct on the cheap, presentational errors — our stale price, our tautology, our circular verdict — and over-reached on the only hard question, declaring fatal a test that cannot discriminate. The second review corrected that but could fetch nothing and rated its own confidence 7/10 for exactly that reason. The unanimous “stay flat” conclusion is well-founded, but it rests on price action, a citation defect, and a supply gate — **not** on any credit analysis either bench was able to verify.

```

{"price_gates": [{"level": 8.32, "direction": "below", "basis": "52-week
low; a break confirms supply (lock-up/13G distribution) is setting
the price, pushing any entry out until selling is done"}, {"level":
11.60, "direction": "above", "basis": "June 2 after-hours high;
sustained hold above this post-print falsifies the pop-then-fade
precedent our timing relies on"}, {"level": 9.50, "direction":
"below", "basis": "watch-only: sub-$9.50 pre-print without a filing
is further unexplained supply, not an entry signal"}],
"event_gates": [{"forms": ["6-K"], "why": "Q2 results 2026-08-24
AMC: read 90-day NPL rate, reserve coverage on already-bad loans
stated ALONE, credit cost, loan book total"}, {"forms": ["6-K"],
"why": "missing-metric alarm: fire if the filed release publishes
credit cost but again omits the standalone bad-loan coverage
figure"}, {"forms": ["SC 13G", "SC 13G/A", "SC 13D"], "why":
"identify holder behind accession 0001229262-26-000020 and any new
5% crossing on a 21.4M free float"}, {"forms": ["4"], "why":
"insider sales after the ~2026-07-29 lock-up expiry would confirm
the supply explanation for the 08-17 break"}, {"forms": ["20-F", "F-
1"], "why": "basis-of-presentation note, adjusted-earnings bridge,
IPO use-of-proceeds and any pre-IPO distributions to the controlling
shareholder"}], "catalyst_dates": [{"date": "2026-08-24", "what":
"Q2 2026 results after market close; decides the case on 90-day NPL
rate and standalone bad-loan reserve coverage", "confirmed": true},
{"date": "2026-08-25", "what": "reconvene and rule the pre-committed
gate: NPL 90+ <=9.5% with standalone Stage 3 coverage flat-or-up
reopens at <=0.85x fair value, starter <=1% of book, tranching;
>=10.5% or coverage falling dismisses", "confirmed": false},
{"date": "2026-12-31", "what": "CEO's spoken 'low teens by year-end'
NPL remark comes due; never filed as guidance, so test it rather
than trade it", "confirmed": false}], "immediate_entry": null}

```